

INVESTMENT IDEA — PPFAS MUTUAL FUND

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WAAREE ENERGIES LTD — INDIA'S SOLAR MANUFACTURING CHAMPION

Sector: Renewable Energy / Solar PV Manufacturing | CMP: ~₹2,650 | Mkt Cap: ~₹75,000 Cr | Recommendation: BUY

Metric	FY24A	FY25E	FY26E	FY27E	Target
Revenue (₹ Cr)	11,398	16,500	22,000	29,000	—
EBITDA Margin (%)	13.2%	14.5%	15.8%	16.5%	—
PAT (₹ Cr)	1,274	1,920	2,790	3,770	—
EPS (₹)	73	110	155	210	—
P/E (x)	36x	24x	17x	13x	28x on FY26E
Implied Price (₹)	—	—	—	—	~₹4,340 (+60%)

WHY I FIND THIS COMPELLING

I came to Waaree not from a screener but from a macro observation: India has committed to 500GW of renewable capacity by 2030 and sits at roughly 190GW today. That 310GW gap is not political rhetoric — it is an engineering procurement contract queue waiting to be cleared. I wanted to identify the company closest to that cheque. Waaree is India's largest solar PV module manufacturer with ~13GW of installed capacity and ~21% domestic market share, but the number that made me lean forward was their export order book: over \$1.5 billion of US-bound module orders locked in as of FY24, growing from near-zero two years prior.

Three things separate this from a typical capex cycle story: First, demand is locked, not projected — Waaree's ~18GW order book represents roughly 1.5 years of revenue at current capacity before a single new contract is signed. Second, the competitive moat is regulatory: US anti-dumping and countervailing duties on Chinese and Southeast Asian panels create a tariff arbitrage written into legislation that will not reverse quickly. Third, promoter alignment is unusually strong — the Bikaner family holds ~71% post-IPO, which in a high-growth capex phase signals genuine long-term intent rather than an exit-oriented promoter.

THE NUMBERS — AND WHAT I THINK THEY MEAN

I built a 3-statement DCF on Waaree as part of my equity research work at IIT Kharagpur. Base case: revenue CAGR of ~25% through FY27, EBITDA margin expansion from 13.2% to 16.5% as the cell manufacturing vertical comes online (improving vertical integration from ~0% to ~40% of in-house cell supply), terminal growth rate of 6%, WACC of 12.5% derived from a levered beta of 1.35 regressed against the Nifty 500. The DCF output was an implied fair value of ~₹4,340 — roughly 60% above my study price. What drives this is not a heroic revenue line. It is operating leverage: a capital-intensive manufacturer at 65% utilisation today moving to 85%+ utilisation produces disproportionate margin and FCFF expansion.

To stress-test the valuation I ran three scenarios. In the bear case — revenue CAGR of 15%, margins flat at 13%, WACC of 14% — implied value is ~₹2,900, roughly 10% above current price. The margin of safety even in a pessimistic scenario is not zero. In the bull case — 32% revenue CAGR, margins reaching 18% on full vertical integration, WACC of 11.5% — implied value touches ₹6,200. The asymmetry is compelling: ~10% downside in the bear case versus 60%+ upside in the base and 130%+ in the bull.

Capital efficiency metrics — validating the quality of growth:

Metric	FY22	FY23	FY24	Trajectory
Return on Equity (%)	18.2%	27.4%	31.6%	↑ Improving
Return on Capital Employed (%)	16.8%	24.1%	28.3%	↑ Improving
Asset Turnover (x)	1.8x	2.3x	2.6x	↑ Efficient
Net Debt / EBITDA (x)	1.2x	0.7x	0.3x	↓ Deleveraging
Working Capital Days	68	58	51	↓ Tightening

KEY RISKS AND MY MONITORING FRAMEWORK

The risk I spend the most time on is polysilicon price volatility. Waaree currently imports cells and wafers — if China restricts polysilicon exports (as it has with gallium and germanium), input costs spike and margins compress before the in-house cell line is operational. I estimate a 10% polysilicon price increase compresses EBITDA margin by approximately 80-100bps at current integration levels. Their cell manufacturing capex (expected operational FY26) de-risks this structurally, but the 12-18 month transition window is where I would be most watchful.

Secondary risks: US policy reversal on IRA incentives (low probability — bipartisan infrastructure spending is politically durable), domestic ASP compression from overcapacity (partially mitigated by module-to-cell vertical move), and currency risk on USD-denominated export revenues (natural hedge given USD capex imports). My exit signal is two consecutive quarters of EBITDA margin below 11% — that would indicate the vertical integration thesis is not executing on schedule and the core earnings case needs to be rebuilt from scratch.

WHY THIS FITS A VALUE INVESTING LENS

A 24x forward P/E does not look cheap in the Benjamin Graham sense. But I have come to believe — and PPFAS's own portfolio history reinforces this — that value is not a P/E threshold. It is the gap between price and intrinsic worth, which can exist at high multiples when the market underestimates the durability of earnings compounding. Waaree at 17x FY26 earnings, with a balance sheet that is actively deleveraging (net debt/EBITDA from 1.2x in FY22 to 0.3x in FY24), ROE above 30% and rising, and a visible order book that makes FY26 earnings less a forecast than a delivery schedule — this is a business where I believe intrinsic value is compounding faster than the market price.

The management quality check matters as much as the numbers to me. Waaree has scaled capacity 4x in 5 years while keeping balance sheet discipline intact — that is not common in Indian capital goods. I look for managements that invest in capability before they invest in appearances, and the Bikaner family's track record of reinvesting cash flows into manufacturing depth rather than diversifying into unrelated businesses is exactly the kind of focused capital allocation I want to own.

CONCLUSION

Waaree is a business at the intersection of three durable structural forces: India's energy infrastructure deficit, the global supply chain decoupling from China, and the data centre power demand acceleration that is making grid-scale solar non-negotiable. I am paying a fair price for a genuinely good business with an unusually clear earnings visibility window, a management team with real skin in the game, and a regulatory moat that took years to build. The 60% upside in my base case is the return for correctly identifying a compounder early — not for assuming things go perfectly.

This idea is part of a live portfolio I personally track. I believe the best way to understand a business is to have real skin in the game.